

An Act

ENROLLED HOUSE
BILL NO. 3279

By: Pfeiffer of the House

and

Bergstrom and Boren of the
Senate

An Act relating to state government; amending 74 O.S. 2021, Section 85.42, as amended by Section 9, Chapter 336, O.S.L. 2025 (74 O.S. Supp. 2025, Section 85.42), which relates to the Oklahoma Central Purchasing Act; broadening scope of certain prohibited act; deleting certain contract penalties and employment prohibitions; providing employment restrictions for state officers or employees under certain circumstances; requiring inclusion of certified statements for purchase contracts exceeding certain dollar amount; authorizing the appointment of contract signatory designees; requiring written designations; voiding contracts or agreements for certain violations; prohibiting persons from entering into state contracts or being rehired for specified period of time; amending 74 O.S. 2021, Section 590, which relates to the Oklahoma Privatization of State Functions Act; broadening scope of certain prohibited act; authorizing the Attorney General and state agencies to terminate certain contracts; increasing time limitation that bars business organizations from contracting with the state, its agencies, or political subdivisions of the state; allowing the Attorney General or state agency to pursue monetary damages and certain relief; and providing an effective date.

SUBJECT: State government

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 74 O.S. 2021, Section 85.42, as amended by Section 9, Chapter 336, O.S.L. 2025 (74 O.S. Supp. 2025, Section 85.42), is amended to read as follows:

Section 85.42. A. 1. Except as otherwise provided for in this section or other applicable law, any agency, whether or not such agency is subject to the Oklahoma Central Purchasing Act, shall be prohibited from entering into a ~~sole-source contract or agreement or a contract or agreement for professional services~~ with or for the services of any person who has terminated employment with or who has been terminated by that agency for one (1) year after the termination date of the employee from the agency. ~~Any contract or agreement entered into in violation of this subsection shall be void. Any person found to have violated this subsection shall be prohibited from entering into any state contract for a period of five (5) years from the date of the execution of the contract or agreement. The provisions of this subsection shall not prohibit an agency from hiring or rehiring such person as a state employee.~~

2. Any chief administrative officer of an agency, whether or not such agency is subject to the Oklahoma Central Purchasing Act, shall not enter into any contract for nonprofessional or professional services for the purpose of or which would result in the circumvention of the full-time-equivalent employee limitation established by law for such agency.

3. Any state officer or employee, who exercises discretionary or decision-making authority in entering into a contract of Twenty-five Thousand Dollars (\$25,000.00) or more, shall be prohibited for a period of one (1) year from the date of execution or renewal of the contract from becoming an officer or employee of a business organization which is a party to any contract with the state agency in which the state officer or employee exercised such discretionary or decision-making authority.

B. Each contract for purchases of Twenty-five Thousand Dollars (\$25,000.00) or more, including change orders, extensions, renewals, or amendments, entered into by any person or firm with the State of Oklahoma shall include a statement certifying that no person who has been materially involved in any manner in the development, approval, or negotiation of such contract while employed by the state shall be employed or given anything of value in consideration of receiving the contract to fulfill any of the services provided for under the contract. Each contract for purchases of Twenty-five Thousand Dollars (\$25,000.00) or more, including change orders, extensions,

renewals, or amendments, shall also include a statement ~~from the chief executive officer or head of the contracting state agency~~ certifying that no known officer or employee of the contracting state agency who has any direct or indirect financial, pecuniary, or other personal interest in the contract has been involved in any manner in the development, approval, or negotiation of the contract through influence, decision, recommendation, or otherwise. The chief executive officer or head of the contracting state agency may appoint an employee of the agency as a contract signatory designee. Such designation shall be made in writing. However, such designation shall not absolve the chief executive officer or head of the contracting agency from responsibility for implementing the provisions of this subsection. This subsection shall not preclude faculty and staff of the institutions within The Oklahoma State System of Higher Education from negotiating and participating in research grants and educational contracts. This subsection shall not apply to Oklahoma Department of Commerce personnel who contract to provide services to the Oklahoma Capital Investment Board.

C. As used in this section, "person" means any state official or employee of a department, board, bureau, commission, agency, trusteeship, authority, council, committee, trust, school district, fair board, court, executive office, advisory group, task force, study group, supported in whole or in part by public funds or entrusted with the expenditure of public funds or administering or operating public property, and all committees, or subcommittees thereof, judges, justices and state legislators.

D. Notwithstanding anything to the contrary in this section, the following sole-source or professional services contracts are allowed at any time:

1. A contract for professional services at any time with a person who is a qualified interpreter for the deaf; and

2. A contract between a business entity that is a part-time certified court reporter and the Administrative Office of the Courts, on behalf of the district courts, or the Office of the Attorney General.

E. Provided the provisions specified in subsection B of this section are satisfied, the following professional services contracts are allowed:

1. The Department of Transportation, Oklahoma Water Resources Board, Department of Environmental Quality, Oklahoma Tourism and Recreation Department, the Oklahoma Turnpike Authority and the Oklahoma Department of Agriculture, Food, and Forestry may contract with a person who has retired from state service;

2. To maintain public health infrastructure and preparedness, the State Department of Health and city-county health departments may contract with a physician assistant, Registered Nurse, advanced practice nurse, Nurse-Midwife, registered dietitian, occupational therapist, physical therapist or speech-language pathologist who has retired from state service; and

3. The Department of Mental Health and Substance Abuse Services may contract with a physician, Registered Nurse, registered pharmacist or person meeting the definition of a licensed mental health professional, as defined in Title 43A of the Oklahoma Statutes, who has separated and/or retired from state service.

F. Any contract or agreement entered into in violation of this section shall be void. Any person found to have violated this section shall be prohibited from entering into any state contract or from being rehired as a state employee for a period of three (3) years from the date of voiding, termination, or cancellation of the contract or agreement.

SECTION 2. AMENDATORY 74 O.S. 2021, Section 590, is amended to read as follows:

Section 590. A. Any state officer or employee who exercises discretionary or decision-making authority in ~~awarding~~ entering into a privatization contract pursuant to the Oklahoma Privatization of State Functions Act, shall be prohibited for a period of one (1) year from the effective date that of the privatization contract is awarded from becoming an officer or employee of a business organization which is a party to any ~~privatization~~ contract with the state agency in which the state officer or employee exercised such discretionary or decision-making authority.

B. In the event of a violation of the provisions of subsection A of this section, ~~the:~~

1. The Attorney General or the state agency may terminate the contract with the business organization;

2. The Attorney General may terminate any other state contract with the business organization; and

3. The business organization shall be prohibited, for a period of ~~one (1) year~~ three (3) years from the date of ~~the violation,~~ employment or association of the former state officer or employee with the business organization, from contracting with the ~~state~~ State of Oklahoma or any agency in which the state officer or state employee exercised discretionary or decision-making authority or political subdivision of the State of Oklahoma.

The Attorney General or state agency may pursue monetary damages and declaratory and equitable relief from the business organization for repayment of any funds expended or encumbered pursuant to the contract and any losses attributable to the contract or its termination.

SECTION 3. This act shall become effective November 1, 2026.

Passed the House of Representatives the 10th day of March, 2026.

Presiding Officer of the House
of Representatives

Passed the Senate the 28th day of April, 2026.

Presiding Officer of the Senate

OFFICE OF THE GOVERNOR

Received by the Office of the Governor this _____
day of _____, 20_____, at _____ o'clock _____ M.
By: _____

Approved by the Governor of the State of Oklahoma this _____
day of _____, 20_____, at _____ o'clock _____ M.

Governor of the State of Oklahoma

OFFICE OF THE SECRETARY OF STATE

Received by the Office of the Secretary of State this _____
day of _____, 20_____, at _____ o'clock _____ M.
By: _____